RESEARCH PAPER

Ireland’s Defence & Security Spending

Where the Money Comes From, Where It Goes, and Why the Constraint Isn’t Budget

Security Ireland June 2026

KEY FINDINGS

Ireland ran a €42 billion budget surplus between 2022 and 2024, meaning that it could fund the first level of genuine self-defence from a single year’s surplus. Yet it spends 0.2% of GDP on defence — the lowest in the EU.

The capital programme has been raised to €1.7 billion over 2026–2030, and the IDSA estimates €2.5 billion over the next decade. For the first time, Ireland has a procurement pipeline. But money is not the binding constraint; the constraint is *institutional bandwidth*: the distance between what the system can currently coordinate and what the security environment demands.

Ireland’s defence spending flows through five channels: the national budget, EU instruments (PESCO, SAFE, EDIP), bilateral UK–Ireland cooperation (Cork MoU), NATO-adjacent frameworks, and maritime data infrastructure. The €1.7 billion programme creates genuine procurement demand. But a system designed for routine replacement is now running first-generation capability builds. Without institutional architecture, the money produces expenditure, not capability.

0.2% of GDP	€1.7bn	€42bn	7,531
Defence spending — lowest in EU	Capital programme 2026–2030	Budget surplus 2022–2024	Personnel (50-year low)

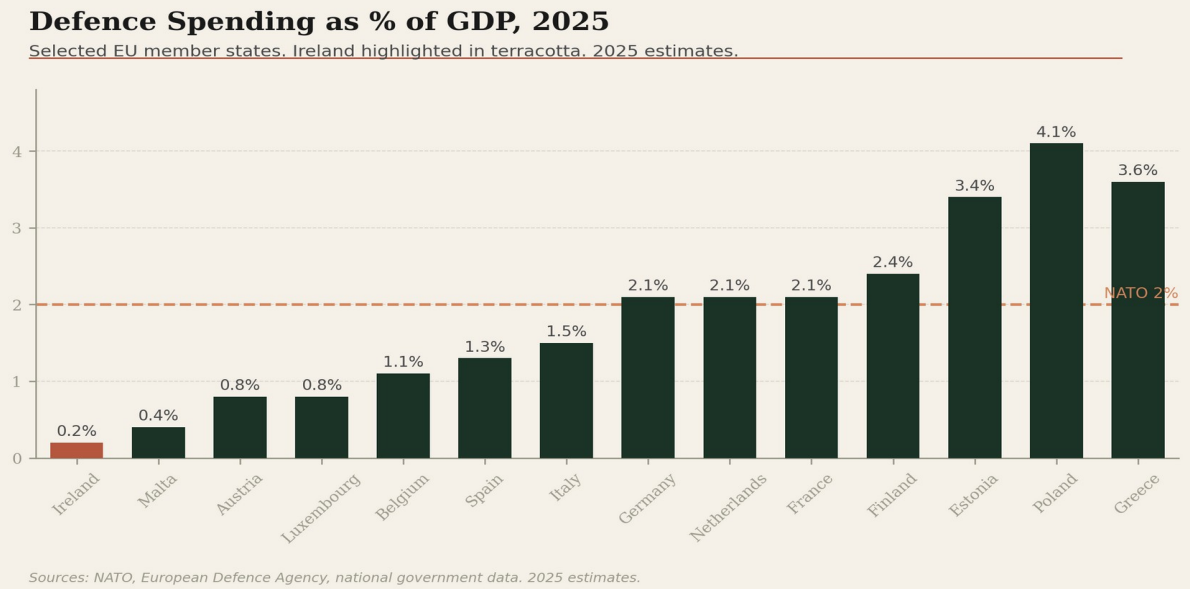

Figure 1: Defence spending as % of GDP, 2025 estimates. Ireland's 0.2% is lower than every EU and NATO member.

Where the Money Comes From

Ireland's defence and security funding flows through five distinct channels. Understanding which channel funds what explains why the system is configured the way it is — and where the leverage points sit.

1. The National Defence Budget

This is the core. Ireland's defence vote covers personnel, operations, and capital. The capital programme — €1.7 billion over 2026–2030 — is the transformative element. Historically, the capital budget was negligible: equipment replacement, barracks maintenance, minor procurement. The Level of Ambition 2 commitment has changed this into a genuine capability-building programme.

Even at the enhanced level, Ireland's total defence investment is a rounding error by European standards. Germany's debt brake reform alone unlocked €400 billion. The SAFE instrument offers €150 billion. Ireland's entire decade-long programme is smaller than what many individual member states spend in a single year.

What the budget funds: personnel costs for 7,531 permanent Defence Forces (against a 9,739 establishment); the primary radar programme (targeting 2028); counter-drone procurement (summer 2026); naval fleet renewal; armoured vehicle procurement; reserve reform; overseas peacekeeping sustainment.

What it cannot fund: the institutional transformation required to absorb the equipment. A procurement system designed for routine replacement is now running first-generation capability builds in domains it has never operated in. No template, no precedent, no institutional memory.

2. EU Instruments

PESCO: Ireland participates in 7 projects as a full member: Maritime Surveillance Upgrade, Maritime Mine Countermeasures, Critical Seabed Infrastructure Protection, Cyber Threats and Incident Response, and Network of Logistic Hubs. PESCO is the only EU framework where Ireland's defence contribution is formally recognised.

SAFE (€150bn loans): Ireland is eligible for SAFE loans for maritime and cyber procurement. Preferential terms for joint procurement could reduce costs. Phase 2 terms, negotiated during Ireland's Presidency, determine whether domain-specific procurement qualifies.

EDIP (€1.5bn grants): Implementing rules being written during Ireland's Presidency determine whether 'defence industrial participation' includes

technology and dual-use contribution. If so, EDIP becomes accessible. If not, Ireland is excluded.

EDF (€8bn R&D): Collaborative research in cyber, AI, and maritime sensing. Feeds future procurement pipelines.

THE STRATEGIC CALCULATION

If Ireland's Presidency links PESCO participation to EDIP/SAFE preferential terms, and if the implementing rules recognise domain-specific contribution alongside traditional military procurement, EU instruments become a significant co-funding source for Ireland's capability programme. If the rules reward only large-scale military procurement, Ireland is excluded from the financial architecture its Presidency is helping to write.

3. Bilateral UK-Ireland Cooperation

The Cork Summit of March 2026 operationalised bilateral security cooperation for the first time. The refreshed MoU covers maritime cooperation, cyber defence, air domain information sharing, and joint procurement; government-to-government sales bypass the commercial procurement process Ireland's system is least equipped to manage. Personnel and training exchanges build institutional capacity that money alone cannot buy.

4. NATO-Adjacent Frameworks

Ireland joined NATO's Individually Tailored Partnership Programme in 2024 and applied in March 2026 to the North Sea Joint Declaration on subsea security. These provide access to standards, exercises, and intelligence-sharing. The precedent: Switzerland's neutral but extensively networked model.

5. CISE Maritime Data Infrastructure

Ireland joined CISE in April 2025. Access to maritime surveillance data partially compensates for the Naval Service's inability to physically patrol its 880,000 km² EEZ. Infrastructure, not funding — but it makes every euro spent on maritime surveillance more effective.

Channel	Scale	What It Funds	Key Constraint
National budget	€1.7bn (2026–30)	Radar, naval, counter-drone, vehicles	No precedent for first-gen builds
EU instruments	SAFE €150bn; EDIP €1.5bn; EDF €8bn	Joint procurement, R&D, capability	Rules may exclude Ireland
Bilateral (Cork MoU)	Efficiency multiplier	Joint procurement, exercises, data-sharing	Asymmetric capacity
NATO-adjacent	Standards & access	Interoperability, exercises, intel	Partnership, not membership
CISE	Data layer	Maritime surveillance sharing	Does not replace physical patrol

Source: Author's analysis. Dept of Defence, EU PESCO documentation, Cork Summit communiqué, NATO.

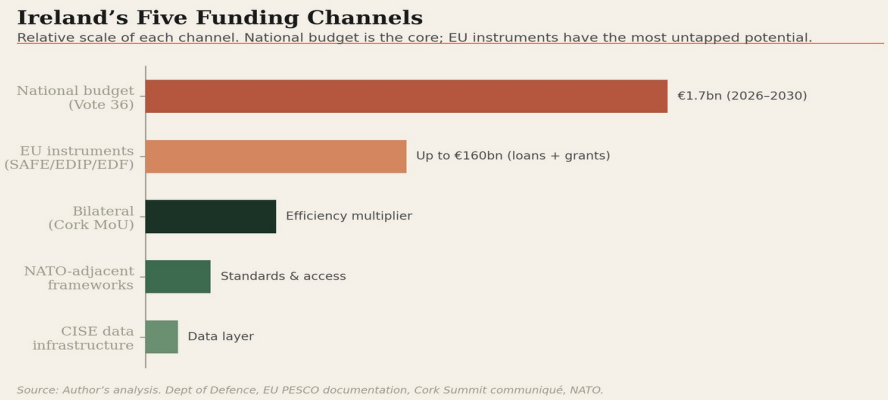

Figure 2: Ireland's five funding channels. The national budget is the core; EU instruments have the most untapped potential if EDIP/SAFE rules recognise domain-specific contribution.

Where the Money Goes

Ireland's defence and security ambitions span seven domains. Each is at a different stage, faces different constraints, and draws on different funding channels.

Airspace

Current state: Ireland cannot detect aircraft entering its airspace. No primary radar, no fighters, no surface-to-air missiles. Under a secret arrangement, the RAF intercepts hostile aircraft — sometimes without prior Irish awareness.

Being built: Primary radar programme targeting 2028 — Ireland's first-ever air surveillance. Counter-drone for summer 2026. Funded by national capital budget; potentially SAFE-eligible.

Constraint: First-generation capability build in a procurement system with no comparable experience.

Maritime

Current state: Nine vessels, no functioning armament, one large vessel deployable. No anti-submarine capability. 880,000 km² of EEZ with less than 15% surveillance coverage on any given day.

Being built: Fleet renewal in the capital programme. PESCO Maritime Surveillance Upgrade and Mine Countermeasures. CISE data layer. Presidency objective: host the Atlantic CISE node.

Constraint: Personnel. Starting salary €40,000 where rent near barracks exceeds €1,800/month. No vessel procurement solves this.

Subsea Infrastructure

20+	90%	€1bn
Major cables making landfall	Transatlantic data via Irish cables	EU Cable Action Plan

IRELAND'S HIGHEST-LEVERAGE DOMAIN

Subsea protection does not require submarines. It requires surveillance data (CISE), coordination protocols (bilateral framework, North Sea Declaration), and institutional position (Atlantic data node, CPEI designation). The investment is modest relative to the strategic return. The Presidency is the mechanism for locking it in.

Cyber & Hybrid Resilience

Ireland hosts the EU headquarters of most major American tech companies. A cyber attack on Irish-hosted systems affects the entire Union. The 2021 HSE ransomware attack cost hundreds of millions. The NCSC remains under-resourced. The government is removing restrictions on Enterprise Ireland's dual-use engagement. If EDIP's rules recognise cyber and AI, Ireland's tech sector becomes a legitimate contributor to EU defence.

Intelligence Architecture

Split across three agencies with no unified national security structure. Unique in Europe. The forthcoming Intelligence Architecture Reform paper examines what unification would require. This is the deepest structural reform on the agenda — years, not months.

Personnel

7,531 against a 9,739 establishment, indicating a fifty-year low as recruitment competes with Dublin's tech sector. Every capability domain requires people: radar needs operators, vessels need crews, cyber needs specialists. Without solving personnel, every capital investment underperforms.

Defence Industrial Base

Ireland has no defence industrial base. But the €1.7 billion capital programme and the IDSA's €2.5 billion estimate create procurement demand for the first time. The question: can the institutional prerequisites be built fast enough to convert this demand into domestic capacity?

Domain	Status	Funding	Constraint
Airspace	No radar, no fighters, no interception	National; SAFE	First-gen procurement
Maritime	9 vessels, <15% EEZ coverage	National; PESCO; CISE	Personnel retention
Subsea	No monitoring; 20+ cable landfalls	PESCO; bilateral; EU Cable Plan	Position, not capital
Cyber	NCSC under-resourced; fragmented intel	National; PESCO; EDIP	EDIP implementing rules
Intelligence	Split across 3 agencies	Institutional reform	Political will
Personnel	7,531 (50-year low)	National (pay & conditions)	Tech sector competition
Industrial	No base; €2.5bn demand emerging	Emerging; needs EDIP access	Missing prerequisites

Source: Commission on the Defence Forces (2022), Dept of Defence, PESCO, Cork Summit, IDSA.

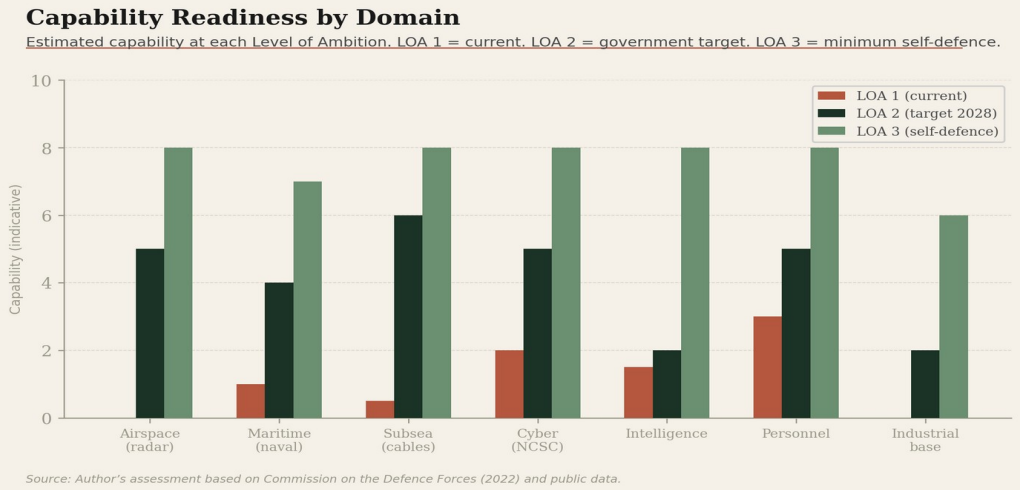

Figure 3: Estimated capability readiness across seven domains at each Level of Ambition. LOA 1 (current) shows near-zero capability in airspace and subsea. LOA 2 (target 2028) addresses monitoring but not defence. LOA 3 is the minimum for self-defence.

The Three Cooperation Tracks

Ireland's security architecture operates through three tracks that feed into each other:

EU frameworks (PESCO, CISE, EDIP/SAFE eligibility) provide institutional legitimacy and funding access.

Bilateral UK–Ireland cooperation (Cork MoU, Subsea Framework, exercises) builds operational capacity.

NATO-adjacent frameworks (ITPP, North Sea Declaration) connect Ireland to alliance standards without membership.

HOW THE TRACKS FEED EACH OTHER

The bilateral track builds the institutional capacity that makes the EU track credible. Ireland's PESCO maritime projects are strengthened by bilateral maritime cooperation. The Cork MoU's cyber cooperation improves Ireland's standing in PESCO's Cyber Threats platform. The Subsea Infrastructure Framework feeds into PESCO Critical Seabed. The North Sea Declaration connects bilateral subsea work to the multilateral framework.

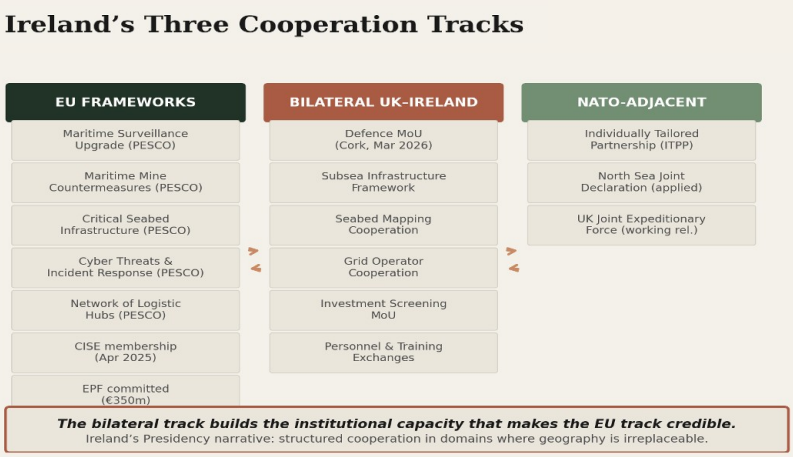

Figure 4: Ireland's three cooperation tracks. EU frameworks, bilateral UK–Ireland, and NATO-adjacent feed into each other.

Ireland's Presidency narrative: 'We contribute to European security through structured cooperation in the domains where our geography makes us critical — maritime surveillance, subsea protection, cyber resilience — using bilateral, EU, and NATO-adjacent partnerships that generate real capability without compromising our constitutional position.'

What's Missing

No National Security Strategy. Ireland remains one of few EU states without one.

No LOA transition roadmap. 54 of 130 Commission recommendations completed in four years. Rate slowing.

No permanent financing architecture. Unlike Germany's constitutional reform, Ireland's programme can be reversed.

The commander-in-chief problem. President Connolly is constitutionally Supreme Commander while opposed to the military's existence.

THE BOTTOM LINE

Ireland is investing more in defence than at any point in its modern history. The €1.7 billion programme, the Presidency, the Cork MoU, PESCO, CISE, and the NATO-adjacent frameworks represent a genuine transition from a system optimised for the absence of military capability to one attempting to build it, but the transition is fragile. The procurement system has never run first-generation builds; personnel cannot be retained; intelligence is fragmented; the political environment remains hostile. The €42 billion surplus is not the answer, it is merely a measure of the problem in that Ireland has the money, but what it lacks is the coordination architecture to convert money into capability — which is the same problem Europe faces at twenty-seven times the scale.

A NOTE ON METHOD

This paper synthesises publicly available information from Security Ireland's published research programme. It does not discuss classified capabilities or operational details. The analysis draws on the Commission on the Defence Forces report (2022), European Defence Agency data, NATO statistics, Department of Defence annual reports, PESCO project documentation, the Irish Defence and Security Association, and the Cork Summit joint statement (13 March 2026). The coordination architecture framework is the author's, developed across the series.

Series Context

This paper draws on the full Security Ireland research programme: Ireland's Defense Problem Isn't Neutrality; The UK–Ireland Security Interface; The GFA and the Security Gap; the Presidency Desk series (ReArm Europe, PESCO Strategic Review, Maritime Surveillance Cooperation, Hybrid Threats & Cyber Defence); and the Strategic Suite for Government.

This paper can be read as a standalone analysis of Ireland's defence funding architecture, or as a companion to the European Defence Landscape page, which explains the NATO and EU systems within which Ireland's spending operates.

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